> events made the slightest dent in Ben Graham's investment principles. Nor did they render unsound the negotiated purchases of fine businesses at sensible prices. Imagine the cost to us, then, if we had let a fear of unknowns cause us to defer or alter the deployment of capital. Indeed, we have usually made our best purchases when apprehensions about some macro event were at a peak. Fear is the foe of the faddist, but the friend of the fundamentalist.

We would note, however, that these macro shocks can be particularly painful for higher-growth businesses, because a steep and sudden reduction in demand can have larger implications for their balance sheets than just a few years earlier. All of their revenue and expense line items have so many more dollars running through them than when the firms were smaller. As a result, we have been encouraging faster-growing companies to build in an extra margin of safety in their balance sheets, especially at times when capital is readily available to them and there seems to be no immediate need for it. While we are acutely aware of the costs of dilution from maintaining a stronger balance sheet, we believe managements should always prioritize investing in technology, systems, and talent. Failure to do so can erode a company's competitive advantage and if funded with debt, can limit the company's future flexibility to invest in new, potentially high-returning ideas. In high-growth businesses, which are likely to produce growing sums of free cash flow in the not-too-distant future, ensuring the operating financial strength and depth of talent must be paramount. Maintaining all of the flexibility that comes with being in a position of strength has allowed several of the businesses we own to make acquisitions, repurchase shares at very attractive prices, and continue to build up future earnings power through difficult economic periods. It's powerful if you can work on the numerator and the denominator at the same time.